

Investment Committee Memo

A Landmark 344-Unit Garden & Loft Apartment Community Value-Add Upside

Apartment Community · 344 units · Suburban Chicago

NO-GO

Composite Risk Score: 10/100

Generated June 27, 2026 UTC · 3 risk flags triggered · Source: Hackathon OM.pdf

Executive Risk Summary

- Pro-forma rent growth exceeds submarket trend: The sponsor assumes 5.8% annual rent growth versus a 2.9% historical 3-year submarket average in DuPage County, a gap of 2.9 percentage points, above the 2% medium-risk threshold. An interior renovation budget is present in the OM, which partially mitigates execution risk.
- DSCR critically below lender covenant: Year-1 DSCR is 1.08x based on NOI of \$6,220,510 and annual debt service of \$5,760,000 (\$60,000,000 loan at 9.60% interest-only). This falls below the 1.15x critical threshold and well under the typical 1.25x agency covenant. Refinance and default risk are materially elevated.
- Submarket vacancy deteriorating at critical pace: DuPage County occupancy has declined 110 bps over the trailing 12 months to 91.6%, with economic vacancy at 9.1%. 1,840 competing Class A units deliver through 2027, sustaining concession pressure. Occupancy erosion at this pace compresses effective rents and directly threatens NOI projections.

1. Demand Analysis

DuPage County submarket fundamentals reflect 91.6% average occupancy with economic vacancy at 9.1%. Trailing 12-month occupancy change of -110 bps signals softening demand. The construction pipeline includes 1,840 units delivering through 2027, which will influence concession levels and lease-up velocity over the next 24 months.

Submarket	DuPage County
Avg. Occupancy	91.6%
Economic Vacancy	9.1%
T-12 Occ. Change	-110 bps
Pipeline Units (2027)	1,840

Triggered Risk Flags

- [Critical Risk] Submarket vacancy deteriorating at critical pace: DuPage County occupancy has declined 110 bps over the trailing 12 months to 91.6%, with economic vacancy at 9.1%. 1,840 competing Class A units deliver through 2027, sustaining concession pressure. Occupancy erosion at this pace compresses effective rents and directly threatens NOI projections.

2. Financial Strength

Year-1 net operating income is \$6,220,510 against assumed \$60,000,000 senior debt. Pro-forma DSCR of 1.08x falls below the 1.25x agency covenant benchmark. Critical refinance and covenant risk is present. Limited debt-service cushion remains for rate volatility.

Year-1 NOI	\$6,220,510
Loan Amount	\$60,000,000
DSCR	1.08x
Debt Rate (assumed)	9.60% IO
Annual Debt Service	\$5,760,000

Triggered Risk Flags

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3. Operating Efficiency

The 344-unit asset generates \$18,083 NOI per unit at Year 1. Net cash flow after interior renovation spend is \$5,379,401. Interior renovation is budgeted at \$841,109 (\$2,445/unit), which supports the value-add execution plan outlined in the OM.

Unit Count	344
NOI / Unit	\$18,083
Reno Budget / Unit	\$2,445
Total Reno Budget	\$841,109
Net CF After CapEx	\$5,379,401

4. Market Alignment

Sponsor underwrites 5.8% annual rent growth versus a 2.9% historical 3-year submarket average — a gap of 2.9 percentage points. Trailing 12-month market rent growth is 2.1%. Rent growth assumptions appear disconnected from submarket trends. Elevated supply of 1,840 pipeline units may compress achievable rent bumps.

Pro-forma Rent Growth	5.8%
Submarket 3-Yr Avg	2.9%
Rent Growth Gap	2.9 pts
T-12 Market Rent Growth	2.1%
3-Yr CAGR	2.9%

Triggered Risk Flags

- [Medium Risk] Pro-forma rent growth exceeds submarket trend: The sponsor assumes 5.8% annual rent growth versus a 2.9% historical 3-year submarket average in DuPage County, a gap of 2.9 percentage points, above the 2% medium-risk threshold. An interior renovation budget is present in the OM, which partially mitigates execution risk.

5. Capital Position

Capital stack assumes \$60,000,000 debt financing on Year-1 NOI of \$6,220,510. Interior renovation capital of \$841,109 (\$2,445/unit) is allocated in the OM. Post-renovation net cash flow of \$5,379,401 defines the Year-1 capital position after value-add spend.

Senior Loan	\$60,000,000
Interior Reno Budget	\$841,109
Reno / Unit	\$2,445
Year-1 NOI	\$6,220,510
Net CF After CapEx	\$5,379,401

Triggered Risk Flags

- [Critical Risk] DSCR critically below lender covenant: Year-1 DSCR is 1.08x based on NOI of \$6,220,510 and annual debt service of \$5,760,000 (\$60,000,000 loan at 9.60% interest-only). This falls below the 1.15x critical threshold and well under the typical 1.25x agency covenant. Refinance and default risk are materially elevated.
- [Medium Risk] Pro-forma rent growth exceeds submarket trend: The sponsor assumes 5.8% annual rent growth versus a 2.9% historical 3-year submarket average in DuPage County, a gap of 2.9 percentage points, above the 2% medium-risk threshold. An interior renovation budget is present in the OM, which partially mitigates execution risk.